

Funding the Commons - Networked OKRs & Milestone Bounties

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Join Pooja Shah for her talk titled, "Networked OKRs & Milestone Bounties," part of Protocol Labs' "Funding the Commons" virtual summit for individuals and organizations building new models of sustainable public goods funding and value alignment in open source networks. For more information go to: <https://fundingthecommons.io/>

Chapters

Transcript

Follow along using the transcript.

Transcript

Intro

0:02

[Music]

0:03

[Applause]

0:03

[Music]

0:06

is the head of product of protocol labs

0:09

and she'll be talking about networked

0:11

okrs and milestone bounties protocol

0:13

labs approach to aligning and funding

0:15

ecosystem progress in a more

0:17

decentralized fashion

0:19

welcome fuji

0:23

hello how's it going

0:27

awesome all right let me share a screen

0:34

okay so as carla mentioned um i'm going

0:37

to be talking about networked okrs and

0:40

milestone bounties um and again my name

0:42

is puja and i work at protocol labs so

0:45

today just to give a brief sort of road

0:48

map of the this conversation i'm going

0:50

to talk a little bit about why we think

0:52

these mechanisms are important uh and

0:54

then dive into a little bit how we think

0:56

about networked okrs and milestone

0:58

bounty specifically so giving you some

1:00

definition since these may not be

1:01

familiar terms with for a lot of people

1:03

and then diving into how they can be

1:04

useful in aligning decentralized

1:06

ecosystems and some of the experiments

1:08

we're going to be running here within

1:09

the protocol labs

1:10

ecosystem um so i wanted to start by

Centralized vs Decentralized

1:12

taking a step back and looking at some

1:15

of the differences between centralized

1:17

companies where a lot of product and

1:18

engineering work in our world has been

1:21

done for the last several centuries

1:23

versus decentralized ecosystems um so

1:26

you know i was comparing on a number of

1:27

different dimensions when you think

1:29

about centralized companies

1:31

often these are organizations where you

1:32

can you can think of the actual

1:34

organization as a graph that has a

1:36

single route

1:37

the direction of growth of these types

1:39

of organizations tends to grow

1:41

with increasing depth and of the graph

1:44

but when companies tend to um want to

1:47

grow in new directions sometimes they

1:49

can struggle to expand the breadth of

1:51

focus that they that they have um these

1:53

companies also sometimes can uh their

1:56

the impact that these companies can

1:57

achieve can be constrained by head count

1:59

so how many people directly work for

2:01

this organization um

2:03

how centralized companies orient the

2:06

massive uh set of folks that are working

2:08

within the company tends to be through

2:10

centralized planning um but on the plus

2:12

side you know these sorts of structures

2:14

have historically been very effective

2:16

for hard engineering efforts that

2:18

require really tight coordination

2:19

between a number of different people

2:21

where there are dependencies between

2:22

lots of different

2:23

groups within the organization but they

2:25

can all collectively coordinate together

2:27

in order to have some really massive

2:28

impact

2:29

um obviously all of us are here today

2:31

because we're really excited about

2:32

decentralized ecosystems and the

2:34

direction that these ecosystems will go

2:36

in in the future um and you know the

2:39

potential that decentralized ecosystems

2:40

have to really have some incredibly

2:42

massive impact um as the arrow of time

2:45

moves forward so uh just to contrast

2:47

against some some of these dimensions

2:49

with decentralized ecosystems we you

2:51

know an org chart is not really a

2:52

reasonable concept but if you were to

2:54

think of the ethereum ecosystem or the

2:56

ipfs ecosystem for example as an

2:59

organization it would look like many

3:01

different graphs of different companies

3:03

that have many roots who are the leaders

3:05

of the various different

3:07

groups within an ecosystem um

3:10

the the way the decentralized ecosystems

3:12

can grow i believe can be in both

3:14

deepening in particular directions but

3:16

also experimenting with new use cases

3:18

and just really growing in terms of

3:20

breath as well um

3:22

the impact that an ecosystem can can

3:24

achieve is not really constrained by

3:27

this notion of head count of or the

3:29

people that are within the ecosystem

3:31

today but it really looks a lot more

3:33

like what is the latent talent in the

3:35

industry um so the people that are

3:38

broadly within this particular ecosystem

3:40

we're working on adjacent projects or

3:42

that might be interested in working in a

3:43

similar space in the future and

3:44

especially as an industry grows this can

3:46

become extremely massive like a massive

3:49

force of people that are oriented around

3:51

similar directions um in terms of

3:53

direction setting for decentralized

3:55

ecosystems to date a lot of what we've

3:57

seen looks like you know soft influence

3:58

like people writing blog posts and

4:00

having really big um followings on on

4:02

twitter and other places where people

4:04

are interested in hearing what leaders

4:06

of these ecosystems have to say um but

4:08

one of the downsides that i believe we

4:09

have seen so far is that sometimes

4:11

decentralized ecosys systems can be a

4:13

little bit less effective when work when

4:15

um projects are

4:17

are active that require really tight

4:19

coordination and have lots of

4:20

dependencies

Aligning Participants

4:22

and so one of the big questions that we

4:23

think about a lot within protocol labs

4:26

is how do you align participants in a

4:28

decentralized ecosystem we really want

4:30

to be able to lean into some of the

4:31

benefits that i mentioned before but we

4:33

don't want to lose the benefits of

4:36

really tight coordination and efficiency

4:38

when it comes to difficult engineering

4:40

challenges that we have seen centralized

4:42

companies be really successful with

4:44

um

Core Principles

4:45

and so

4:46

one of the like core principles that

4:48

kind of underlines underlies this entire

4:51

um underlies this entire set of

4:52

experiments that we're looking into is

4:54

this belief that in decentralized

4:56

ecosystems teams are often doing really

4:58

really valuable work that ultimately

5:00

accrues value to the protocol layer um

5:03

and here's some examples within the ipfs

5:05

and filecoin ecosystems one really

5:06

great example is we just announced that

5:08

within within the filecoin protocol we

5:11

are soon going to be launching the

5:12

filecoin virtual machine which will

5:14

enable user generated smart contracts um

5:16

and so things like this which are you

5:18

know not necessarily revenue generating

5:19

projects but obviously anyone can see

5:21

that they are extremely valuable and

5:23

they will drive a lot of new use cases

5:26

and development and experimentation

5:27

within the protocol ecosystem um and so

5:30

when we think about you know how do we

5:32

align participants in an ecosystem

5:34

funding mechanisms are really really

5:35

important obviously um and there are two

5:38

core needs that these funding mechanisms

5:40

need to achieve so the first is making

5:42

sure that participants um have in the

5:45

ecosystem have the upfront working

5:47

capital that they need to go after these

5:49

really high impact projects and then on

5:52

an ongoing basis they also need

5:54

additional funding to reward the impact

5:57

that they were able to generate

5:59

some of the principles that have been

6:00

guiding us as we've been thinking about

6:02

different funding mechanisms include um

6:04

you know we need to make sure we're

6:05

delivering really significant and

6:07

proportional upside for teams um these

6:10

primitives need to be really modular and

6:11

flexible this is sort of i i think this

6:14

entire conference sort of shows a number

6:16

of different ideas and different ways in

6:18

which we can accomplish similar

6:19

objectives and so this is you know one

6:21

set of experiments and one set of ideas

6:23

um which we expect to change and grow

6:25

over time

6:27

another core principle is that you know

6:28

this should feel really abundant as

6:30

we're all doing extremely impactful work

6:32

this is a rising tide that really is

6:34

going to lift all boats and so there

6:35

shouldn't be this feeling of scarcity or

6:37

competitiveness within uh within the

6:40

ecosystem and then another principle

6:42

here is that we're aiming to reward

6:43

impact not effort

Framework

6:46

so the set of mechanisms that within the

6:48

protocol labs network that um we've been

6:50

thinking about

6:51

are designed to fund teams working on

6:53

impact generating work that doesn't

6:55

necessarily need to be revenue

6:56

generating although it can be um and to

6:59

collectively these mechanisms should be

7:01

able to create an environment where

7:02

teams can pursue opportunities faster

7:05

achieve higher impact and earn many more

7:08

rewards than they would today in a more

7:11

centralized sort of setting so one

7:13

framework that we've been using to think

7:14

about the set of mechanisms is this this

7:16

chart here

7:17

which sort of has two main dimensions

7:19

the first dimension is um is whether the

7:22

impact was something that was predicted

7:24

to be impactful or whether it was just a

7:26

creative new project that someone came

7:28

up with and that ended up being very

7:30

impactful but that um as direction

7:32

setters in an ecosystem maybe it wasn't

7:34

recognized up front that this would be a

7:36

very impactful project so that's kind of

7:37

the the row at the top um predictable

7:40

impact versus unpredicted impact and

7:42

then the column on the left um talks

7:44

about whether the funding is up front so

7:46

it's you know um upfront working capital

7:49

that's based on impact that is expected

7:51

to come down the road versus funding

7:53

that is based uh on realized impact so

7:56

some of the retroactive funding um

7:57

examples that people we have heard about

7:59

and we'll hear about in throughout the

8:01

rest of this conference so when we think

8:03

about funding that is um this sort of

8:05

upfront working capital there are many

8:07

different kinds of grants that

8:09

we think are really the right uh like

8:11

there's so many creative um

8:13

iterations and and different uh nuance

8:16

nuances to how you can implement grants

8:17

that um achieve a number of different

8:19

objectives here but grants really are

8:21

the primary mechanism that we've seen be

8:22

really successful when it comes to

8:24

funding based on perspective

8:26

impact um but when it comes to funding

8:28

based on realized impact um there are

8:31

two mechanisms that we've been iterating

8:33

um around that we think are very

8:35

interesting and we wanted to present

8:36

today and i'm going to talk a little bit

8:38

about this concept of mild stone

8:39

bounties which is uh rewarding work that

8:42

has been completed the impact has been

8:44

realized and it was something that was

8:46

predicted to be impactful up front

Networked OKR

8:50

okay so before i start talking a little

8:52

bit about milestone bounties i want to

8:54

talk about this concept of network okrs

8:56

and this goes back to this idea of how

8:58

centralized organizations and

9:00

decentralized ecosystems um can orient

9:03

groups of people so within centralized

9:06

companies um many many folks are

9:09

probably familiar with okrs not every

9:11

company in the world uses okrs but it's

9:13

become increasingly a very common

9:14

mechanism to do central planning for uh

9:17

for organizations and so in a company

9:19

like google you know you would see

9:20

something like this massive okr tree

9:23

where there's a set of objectives that

9:24

are set by the executives and each of

9:27

the various different groups within

9:29

google will take

9:30

um we'll take that top level set of

9:32

company goals and then

9:34

interpret what that means for their

9:35

organization

9:36

and it'll sort of like hierarchically

9:38

trickle down throughout the rest of the

9:39

organization um so this is a pretty

9:42

effective mechanism for companies

9:44

but there are some challenges to

9:46

planning um in this way the first thing

9:48

is that this is a really insular way of

9:51

um

9:52

of doing planning for an organization

9:54

often these okrs at the company level or

9:56

at the organization like sub

9:58

organization level is very opaque to the

10:00

broader ecosystem and so therefore it's

10:02

difficult to tell other people what are

10:04

some of the goals that this organization

10:05

is planning to achieve in this year or

10:07

or whatever the time frame is um another

10:09

challenge is that often this sort of

10:11

planning process is scoped with head

10:13

count capacity in mind so um that ends

10:16

up being a constraint for the impact

10:18

that this organization can have more

10:20

broadly and then the last challenge um

10:23

is that this type of planning

10:25

works pretty well but when you compare

10:27

it to alternatives that look much more

10:29

like market-based planning

10:31

this this as a solution looks very

10:33

inefficient when you're talking about

10:35

expressing the massive breadth and depth

10:37

that exist across um an entire ecosystem

10:40

so thinking about not just google itself

10:42

but you know the massive ecosystem of

10:43

products that have been built

10:45

around google's suite of core products

10:48

uh this sort of like structure is very

10:51

difficult to use to express that

10:52

complexity and diversity um in contrast

10:56

there's this idea that we've been

10:57

calling networked okrs and this is

10:59

really because you know the core

11:00

principle when when we're talking about

11:03

organizing work and coordinating with

11:05

others in a decentralized ecosystem we

11:07

want to make sure that we're engaging as

11:09

many people as possible on the top

11:11

priorities in an ecosystem and really

11:13

growing the size of that ecosystem

11:14

overall um so it's not about you know

11:16

the the head count of one particular

11:18

company but really who is is available

11:21

you know or interested in the set of

11:23

challenges that these projects are are

11:25

trying to accomplish and can we get them

11:27

aligned towards those priorities um the

11:30

other really great benefit here um with

11:33

with thinking about this from the

11:34

decentralized ecosystems perspective is

11:36

that we don't want to be limited with

11:37

what an ecosystem can achieve by just

11:39

looking at the headcount constraints of

11:41

a particular organization

11:43

and so there's a potential to achieve

11:45

much more as an overall ecosystem if we

11:47

are able to set network goals without

11:49

thinking of headcount constraints

11:52

and then the last goal here is that we

11:54

want to be able to create a system that

11:56

is sustainable and scalable especially

11:58

as an ecosystem grows and so the

12:01

mechanisms that we've been leaning into

12:03

are this idea of networked okrs and

12:05

milestone boundaries so networked okrs

12:08

are really just an open way to express

12:10

priorities for an ecosystem one kind of

12:13

cute way i've been thinking of this is

12:15

as a marketplace for high skilled work

12:18

um and really this is you know you can

12:20

imagine um really anyone in an ecosystem

12:23

that is a funder that deems some

12:26

priority to be very important for the

12:27

for the ecosystem overall can set an

12:30

objective for for the ecosystem and any

12:33

participant can work against that

12:35

objective and as they are doing so earn

12:37

rewards for for participating in

12:39

achieving an objective across the entire

12:41

ecosystem um and so

12:43

one of the things that's really

12:44

important here are that these are you

12:46

know meaty really crucial big goals for

12:48

an ecosystem um and it's it requires

12:51

participation from a number of different

12:53

individuals and groups in order to

12:54

accomplish that particular objective

12:58

um so that's network okrs and so let's

Milestone Bounties

13:01

talk a little bit about milestone

13:02

bounties um milestone bounties are the

13:06

very general definition for this concept

13:08

is um a reward that you that anyone can

13:12

attach to complete a specific milestone

13:14

where a milestone really can be anything

13:16

a milestone could be a networked okr

13:18

like we just mentioned

13:19

it could be a very specific project it

13:22

could be a multi-stage multi-year

13:23

roadmap

13:25

working towards advancing a particular

13:28

kpi that some funder cares about

13:30

there really can be a

13:32

number of different things but one thing

13:34

that's very important when we're to know

13:35

when we're talking about um milestones

13:37

in the context of orienting

13:39

decentralized ecosystems is that they're

13:41

not just small narrowly scoped projects

13:43

like bug and issue bounties which is how

13:45

most people think um i think today about

13:47

bounties but really milestones are

13:49

intended to be sort of these like media

13:50

crucial projects that are really

13:52

important to push an ecosystem in a

13:54

valuable direction and we were you know

13:57

when we talked about milestone bounties

13:59

we're talking about a very broad swath

14:01

of high impact activities so it includes

14:03

protocol research and implementation

14:05

building developer tooling ecosystem

14:06

development and much more

14:08

and one of the core ideas here too again

14:10

going back to this idea of a marketplace

14:13

of okrs or goals for an ecosystem the

14:16

idea is that anyone with any an

14:17

ecosystem can set and fund the bounties

14:20

for that ecosystem and anyone can work

14:22

on bounties uh on vancouver milestones

14:25

as well

14:26

and these are some use cases for

14:28

milestone bounties which i won't go into

14:30

but i'll send these slides out as well

14:32

so those can take a look at this in more

14:33

detail later

Case Studies

14:35

um so just dumping jumping into a couple

14:37

of case studies which are i think really

14:39

informative and i know we just had kevin

14:41

on so i'm sure he talked a lot about um

14:43

the amazing impact that the git coin

14:46

team has been able to accomplish and the

14:48

ecosystem has been able to accomplish

14:49

over the last few years but i think

14:51

these are really instructive because

14:52

they sort of give um a view into how

14:54

these

14:55

you know the loose structure of

14:57

something like milestone bounties has

14:58

been used in the past and where the

15:00

potential could be for this type of idea

15:02

going forward um so one quick case study

15:04

here hacker one i'm sure a lot of folks

15:06

are familiar with um it's a it's a

15:08

platform where uh where hackers can earn

15:11

rewards for solving issue and uh bug

15:14

bounty specifically focused around

15:15

security for the most part um and hacker

15:18

one was founded in 2012 i believe and

15:20

since since its founding it's awarded

15:22

something like 82 million dollars total

15:24

in funding it's mostly used by a lot of

15:26

web 2 companies

15:28

and has pretty low penetration in web3

15:30

but one of the things that i think is

15:31

really really interesting about hacker

15:33

one

15:34

is that of a significant majority of

15:36

hackers that are that are participating

15:38

in bounties on the hacker one platform

15:40

are doing it because they're interested

15:42

in learning new skills and they're doing

15:43

it because they think it will help them

15:45

from a career growth and advancement

15:46

perspective um so i think that that's

15:48

like really interesting and inspiring

15:50

when we think about also the potential

15:52

for an open marketplace of high skilled

15:54

work to attract new people into an

15:55

ecosystem provide them with an

15:57

opportunity to learn new skills and

15:59

develop a portfolio and then from there

16:01

use that as a launch pad to do more

16:03

impactful and meaningful work than

16:04

within an ecosystem going forward

16:06

so that's hacker one as one quick

16:08

example um also looking at bitcoin and i

16:10

took a look at the bitcoin results page

16:12

which is really inspiring folks should

16:14

go and take a look at that um but it's

16:16

really interesting to see that you know

16:17

across a number of web three ecosystems

16:20

bitcoin has already funded something

16:22

like 200 and almost 230 000 fundees

16:25

across a number of different projects

16:27

and there are also like many different

16:28

use cases for bounties and grants that

16:31

get coin supports um and it's been

16:32

really interesting to see kind of the

16:33

diversity here and how people are using

16:35

bitcoin for for different types of

16:36

projects

Grants

16:38

um the other two case studies they

16:40

wanted to quickly talk about are uh

16:42

grants so far within the protocol labs

16:44

ecosystem and um ethereum foundation

16:46

grants so to date and i believe this is

16:48

over maybe the last like three or four

16:50

years it hasn't really hasn't been that

16:52

long um but protocol labs has awarded

16:54

over 70 million uh dollars or uh in in

16:57

grants over the last several years and i

17:00

think the very interesting thing about

17:01

this is it's a the grants start to look

17:03

really big so the average size and again

17:05

of course they they're really different

17:07

it's like the distribution looks um is

17:10

not at all uniform but the average grant

17:13

in the protocol labs ecosystem over the

17:14

last few years has been pretty big we're

17:16

starting to see you know hundreds of

17:17

thousands of dollars that are awarded in

17:19

the average grant size and um and the

17:22

sorts of projects that have been awarded

17:24

in our ecosystem over the last few years

17:26

include really meaty big things like

17:28

additional file coin implementations um

17:30

really critical integrations into

17:32

important partners like getting ipfs

17:35

into browsers um and core services that

17:37

are necessary for the ecosystem to

17:39

really thrive like pinning services and

17:41

decentralized identity services and so

17:43

on cross-chain integrations um things

17:45

like this so it's you know the projects

17:47

are starting to become like really

17:48

significant um in terms of the the scale

17:51

and impact that they can have and

17:52

similarly within the ethereum foundation

17:54

um a lot of the grants that we've seen

17:56

you know they have been really massive

17:58

and it's also for for really critical

18:00

projects like additional implementations

18:02

and so on

18:03

security audits things like that

Interviews

18:05

um we've also been doing a number of

18:07

interviews with folks across different

18:10

um across different ecosystems and some

18:12

of the things that have really jumped

18:13

out are that um well-structured grants

18:16

and bounties can be extremely empowering

18:18

and motivating for teams to you know

18:20

just have a focus and enough runway that

18:23

they can go after some really critical

18:25

network priorities and then just like be

18:28

energized and go and accomplish those

18:29

goals um also what i mentioned before

18:31

with hacker one uh as an example that

18:34

you know these types of projects can be

18:36

really impactful for new teams that are

18:37

looking to enter an ecosystem that are

18:39

really excited about the potential but

18:41

maybe don't have the legitimacy yet

18:43

within the ecosystem to go after uh to

18:45

go and build like new products and feel

18:47

confident that they will be successful

18:49

and so it can be a really powerful

18:50

launch pad for for new teams that are

18:53

looking to enter an ecosystem as well

18:55

we've also seen a lot of grant funded

18:58

teams and you know effectively what

18:59

we're calling milestone bounty funded

19:01

teams

19:02

that have ended up growing and becoming

19:04

really successful independent businesses

19:06

and also this type of structure can be

19:08

really valuable to help orient an

19:10

ecosystem around a particular set of

19:12

goals that different funders think are

19:13

really important

19:15

um so you know we're we're still

19:17

iterating on exactly what the the

19:20

structure of networked okrs and

19:21

milestone bounties will look like we're

19:23

running a number of experiments this

19:24

quarter to dive deeper into this but

19:26

really the goal is for these mechanisms

19:28

to become a highly effective means of

19:30

decentralized work coordination in the

19:32

protocol labs network

19:34

in the short term and then going forward

19:36

in other ecosystems as well and so some

19:38

of the core kpis that we have been

19:40

focusing on are things like you know how

19:42

many teams have won these types of

19:43

bounties how many teams are able to

19:45

sustain themselves primarily through

19:46

bounty funding um how long does it take

19:49

to match make between a published bounty

19:52

or rfp and a fundee team um

19:56

how valuable is this as you know for for

19:59

people who are setting direction in

20:00

ecosystems how valuable is this for

20:02

funders

20:03

it should be the case that funders love

20:05

bounties because they help make amazing

20:07

useful things happen um so this is some

20:09

of the stuff that you know we're really

20:10

hoping to use to orient our uh our

20:13

project and see how successful this is

Current Projects

20:16

and just to kind of give you a view of

20:18

where we are in the process right now

20:19

we're running

20:20

uh several different projects that some

20:22

of which are you know actually like core

20:25

dev um and core protocol upgrades things

20:27

like that through this process some of

20:28

which are a little bit more auxiliary uh

20:30

depth tooling and things so just trying

20:32

to get across a number of different use

20:34

cases we're launching a number of

20:35

milestone bounties this quarter and

20:37

we'll be shepherding them from uh start

20:39

to finish and in parallel use leveraging

20:42

the learnings from these experiments and

20:44

from conversations we're having with a

20:45

number of other folks to design a v1

20:48

process and platform that we're going to

20:49

be launching next year

Summary

20:51

um so in summary you know there's a

20:55

broad set of experiments that people are

20:56

running i think this is such an exciting

20:58

space and we're really really excited to

20:59

get to participate in running some

21:01

experiments ourselves um

21:03

but yeah this is you know one one area

21:05

where we think um it will be extremely

21:07

valuable to help set

21:09

priorities and direction for

21:10

decentralized ecosystems in a way that

21:12

feels

21:13

really consistent with a lot of the

21:15

values and ethos of web 3 and you know

21:18

just like the idea of marketplaces where

21:20

anyone can participate and they're fully

21:21

open

21:23

we think that that's a really powerful

21:24

mechanism and so we're really excited to

21:26

lean into networked okrs and milestone

21:28

bounties and report back on the

21:30

learnings from these initial experiments

Questions

21:33

and that's me i don't know if i have

21:34

enough time for questions um but

21:38

if not then feel free to reach out to me

21:40

on twitter and always happy to chat

21:42

about these ideas in more detail thank

21:44

you

21:47

thanks puja for a look at the future of

21:49

okrs and networked incentive alignment

21:52

i don't think we have very much time for

21:53

questions right now there was one

21:55

question about whether the presentation

21:57

will be available and i believe the

21:58

answer to that is yes and as puja

22:00

mentioned she'll be available to take

22:02

questions at the twitter handle that she

22:04

shared ah and she shared in the chat yes

22:06

the presentation will be made available

22:07

we'll get that posted

22:09

and i'd

22:12

[Music]

22:13

[Applause]

22:13

[Music]